

The role of multinational companies

As mentioned above, one way that low- and middle-income countries can achieve a rise in investment is to attract multinational companies. A multinational company (MNC) is defined as a firm that operates in more than one country. An MNC is a business with a parent company based in one country but with production or service operations in at least one other country. The largest MNCs are global operations, with manufacturing and retail outlets in many countries of the world. Examples of the largest MNCs include Apple, Huawei, Samsung, Tata, Toyota and Unilever.

The activities of MNCs on the economies of the host countries have been the subject of much debate and discussion by economists and politicians. MNCs can bring in new technology, new ideas, can add to GDP and exports and may generate employment. In the Caribbean area, for example, the impact of foreign direct investment (FDI) from MNCs has been substantial. It has been particularly significant in the bauxite, alumina, petroleum and natural gas industries. There has also been considerable FDI in sugar, tourism and utilities. US MNCs especially have been investors in these businesses. Recent decades have seen the growth of MNCs from a greater range of countries, particularly China and India.

Not all MNCs are well-liked in the countries where they invest, for a number of reasons. MNCs may not create higher employment and higher incomes if they replace domestic firms, they may deplete nonrenewable resources and may create pollution. They may also send most of their profits back to their home countries and may employ foreign rather than home labour, especially in the top-paid jobs. Some of the products they sell may not improve people's living standards. In addition, MNCs put pressure on governments to pursue policies that are beneficial to them but not the economies in which they are producing. Their mobility and considerable economic powers mean that they often negotiate favorable tax breaks and exemption from some environmental laws. A number also develop monopsony power and use this power to drive down the price they pay to the host countries' suppliers of raw materials.

Foreign direct investment

Through their activities, MNCs provide FDI to the countries in which they operate. This is investment that is necessary to produce a good or service in a foreign country. FDI, therefore, involves capital flows between countries.

Low-income and some middle-income countries lack savings to finance investment. Foreign direct investment can overcome this shortfall; MNCs can purchase capital equipment and help to develop the country's infrastructure.

Some countries attract large inward flows of FDI. These tend to be countries that are expected to grow rapidly and so provide large markets for the MNCs' products or ones with low costs of production or abundant supply of raw materials.

There is a range of measures that governments take to attract FDI. These include low corporation tax, a good education system, few rules and regulations for firms and government subsidies.

The causes and consequences of external debt

External debt includes loans which have not been repaid and interest payments on loans which have not been made to foreign banks, foreign governments and international organizations.

More than 40% of low-income countries are heavily indebted to other countries and international organizations. There are four main reasons why countries get into debt. One is that the country has a structural current account deficit. Even in good times, the country may spend more on imports than it earns from its exports or may have net outflow of primary and secondary income.

A second reason is that the country may have been overconfident in the value of loans it could repay. A third, connected reason is that good use is not made of the funds borrowed. A government may, for instance, estimate that investing the loan in building up a new industry may give a return of 8% while the interest on the loan is 5%. If it has miscalculated, and the return is 3%, the government will have problems making the interest payments.

The fourth reason can cause a significant rise in external debt: unexpected events can occur. For instance, there could be an unforeseen depreciation of the exchange rate. This would be likely to increase debt repayments as interest is usually paid in dollars. There may also be negative demand and supply-side shocks. For example, there may be a global recession reducing demand for the country's exports or a natural disaster reducing the supply of its exports and creating a need for greater assistance.

External debt can be a major obstacle to future economic development. As mentioned earlier, repaying the debt can divert funds away from improving the welfare of the population and increasing the economy's growth potential.

A high level of external debt can make it difficult and expensive for low-income and middle-income countries to attract more funds for development. A country's credit rating may be reduced, resulting in the country being charged a higher interest rate.

Some governments reduce their ability to borrow more in the future by defaulting (refusing to pay) on past loans. These governments may consider that, for instance, avoiding cutting spending on education and healthcare may be more important than meeting their obligations to repay loans.

The role of the International Monetary Fund and the World Bank

The International Monetary Fund (IMF) and the World Bank are two of the best known and most influential international organizations.

The International Monetary Fund

The International Monetary Fund (IMF) was set up in 1944 to help promote the health of the world economy. The IMF's headquarters are in Washington, DC. In 2019, the IMF had 189 members. Not all countries are members. Cuba and North Korea, for example, are not members.

The primary aims of the IMF include:

- To promote international monetary cooperation
- To facilitate the expansion and balanced growth of international trade
- To promote exchange rate stability
- To assist in setting up a multilateral system of payments
- To make resources available (with adequate safeguards) to members experiencing balance of payments difficulties.

These activities have been central to the development of global trade since a stable system of international payments and exchange rates is necessary for trade to take place between two countries. In carrying out its responsibilities, the IMF has three main functions, which are known as surveillance, technical assistance and lending. The first two are in line with its mission of promoting global growth and economic stability by encouraging countries to adopt sound economic policies. The third function is used where member countries experience difficulties in financing their balance of payments.

The World Bank

The World Bank was established in 1944. Its initial aim was to help rebuild European countries devastated during World War II. Like the IMF, the World Bank's headquarters are in Washington DC. There were 189 member countries in 2019.

The World Bank has set two goals for the world to achieve by 2030: to end extreme poverty by decreasing the percentage of people living on less than \$1.90 a day to no more than 3 per cent; and to promote shared prosperity by encouraging income growth of the bottom 40 per cent for every country. The World Bank offers support to low- and middle-income countries through internal investment payments such as building new roads, improving infrastructure and constructing new health facilities.

The World Bank Group comprises five institutions. These are:

- International Bank for Reconstruction and Development (IBRD)
- International Development Association (IDA)
- International Finance Corporation (IFC)
- Multilateral Investment Guarantee Agency (MIGA)
- International Centre for Settlement of Investment Disputes (ICSID).

The IBRD assists middle-income and creditworthy poorer countries while the IDA focuses on the poorest countries. Grants are only provided to the world's poorest economies. Loans cover areas such as:

- Health and education - in order to enhance human development in a country for improving sanitation and combating HIV/AIDS

- Agriculture and rural development – for irrigation programmes and water supply projects
- Environmental protection – for reducing pollution and for ensuring that there is compliance and pollution regulation
- Infrastructure – roads, railways, electricity
- Governance – for anti-corruption reasons.

Loans tend to be linked to conditions that involve wider-reaching changes being made to the economic policies of the recipient economies. The IMF and World Bank have been criticized for imposing the so-called 'Washington Consensus' on middle- and low-income countries. The Washington Consensus was devised by a US economist, who proposed ten economic policy prescriptions. These policy prescriptions, which include privatization, deregulation and trade liberalization, are based on increasing the role of market forces. Such an approach may increase efficiency, which would increase productive potential. However, it may increase income inequality, and may not work if the problem that is holding back development is not too much government intervention but market failure and lack of financial markets.



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